

LEAVE MANAGEMENT POLICY

1. Purpose

The purpose of this Leave Management Policy is to establish standardized rules for employee leave requests, leave eligibility, leave validation, leave balance management, and leave processing within the organization.

This policy serves as the official knowledge base for employees, Human Resources (HR), and the AI-powered HR Operations Assistant. The AI shall use this policy to validate leave requests, classify leave types, verify eligibility, and assist HR in processing leave applications.

AI DECISION WORKFLOW

The AI HR Operations Assistant shall process every leave request using the following workflow:

1. Extract the employee request from the email.
2. Validate the request against this Leave Management Policy.
3. Generate an AI recommendation.
4. Forward the recommendation for Human Review where applicable.
5. Process the request after the final decision has been determined.
6. Update the relevant database records.
7. Generate an Audit Log entry.

2. Scope

This policy applies to all employees of the organization and governs all leave requests submitted through the official HR communication channels.

The policy covers:

- Leave eligibility
- Leave entitlements
- Leave balance validation
- Leave classification
- Leave request validation

- AI-based leave processing
- HR leave record management

3. Leave Management Rules

Rule LP-001: Paid Leave (PL)

Paid Leave (PL) is the primary leave category available to eligible employees for planned absences, personal commitments, illness, medical reasons, family responsibilities, or any other approved purpose.

The organization maintains a single Paid Leave balance for every employee. Separate Sick Leave and Casual Leave balances are not maintained. Any Sick Leave or Casual Leave request submitted by an employee shall automatically be classified as Paid Leave (PL) by the AI HR Operations Assistant before processing.

Annual Entitlement

- Employees are entitled to **18 days of Paid Leave per calendar year**.
- The available Paid Leave balance shall be maintained in the **Leave_Balance** table and shall be updated automatically after every approved leave request.

Leave Limits

- Minimum leave duration per request: **0.5 day**
- Maximum leave duration per request: **2 consecutive days**
- Maximum Paid Leave allowed in one calendar month: **3 days**

AI Validation Rules

Before processing a Paid Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee has sufficient Paid Leave balance.
- The requested leave dates are valid.
- The requested leave duration complies with the policy limits.
- A duplicate leave request does not already exist.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Leave Balance, Attendance Transaction, and Audit Log only after the final decision has been determined..
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Rule LP-002: Floater Leave

Floater Leave allows employees to avail leave on organization-approved restricted holidays. Eligible employees may choose any holiday from the organization's approved list of restricted holidays.

Annual Entitlement

- Employees are entitled to **4 days of Floater Leave per calendar year**.
- The available Floater Leave balance shall be maintained in the **Leave_Balance** table.

Restrictions

- Maximum **one Floater Leave** may be availed in a calendar month.
- Floater Leave can only be availed on organization-approved restricted holidays.
- Floater Leave is not available during the employee's probation period.
- Floater Leave cannot be combined with Paid Leave unless specifically approved by HR.

AI Validation Rules

Before processing a Floater Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee has sufficient Floater Leave balance.

- The requested date is an approved restricted holiday.
- The monthly Floater Leave limit has not been exceeded.
- The employee is eligible to avail Floater Leave.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Leave Balance, Attendance Transaction, and Audit Log only after the final decision has been determined.
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Rule LP-003: Compensatory Off (Comp Off)

Compensatory Off (Comp Off) may be granted to employees who have worked on designated non-working days or completed approved extra working hours.

Eligibility

- Employees become eligible for Comp Off only after the additional working hours have been verified and approved by HR.

Entitlement

- The available Comp Off balance shall be maintained in the **Leave_Balance** table.

Restrictions

- Comp Off cannot be claimed without verified extra working hours.
- Comp Off cannot be generated automatically by the AI.
- Comp Off requests must be supported by HR-approved overtime records.

AI Validation Rules

Before processing a Comp Off request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee has sufficient Comp Off balance.
- The employee has approved extra working hours.
- All mandatory information has been provided.
- A duplicate request does not already exist.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
- If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
- If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
- The stored procedure shall update the Leave Transaction, Leave Balance, Attendance Transaction, and Audit Log only after the final decision has been determined.

Rule LP-004: Maternity Leave

Maternity Leave may be granted to eligible employees in accordance with applicable laws and the organization's maternity leave policy.

Eligibility

- The employee must satisfy the organization's eligibility criteria.
- Supporting medical documentation may be required.

Entitlement

- Eligible employees may avail up to **26 weeks** of Maternity Leave.
- Maternity Leave balance shall be maintained in accordance with the organization's leave policy.
- Unused Maternity Leave cannot be carried forward or encashed.

AI Validation Rules

Before processing a Maternity Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee satisfies the eligibility criteria.
- The requested leave duration is within the permitted limit.
- Mandatory medical documentation has been provided, where applicable.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.
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Rule LP-005: Paternity Leave

Paternity Leave may be granted to eligible employees following the birth of their child, in accordance with the organization's leave policy.

Eligibility

- The employee must satisfy the organization's eligibility criteria.

Entitlement

- Eligible employees may avail up to **10 working days** of Paternity Leave.

Restrictions

- Paternity Leave is applicable only for the employee's **first child**.
- Paternity Leave cannot be carried forward or encashed.

AI Validation Rules

Before processing a Paternity Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee satisfies the eligibility criteria.
- The requested leave duration is within the permitted limit.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.
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Rule LP-006: Bereavement Leave

Bereavement Leave may be granted to employees following the death of an immediate family member, in accordance with the organization's leave policy.

Eligibility

- Bereavement Leave is applicable only in the event of the death of an immediate family member.

Entitlement

- Eligible employees may avail up to **5 working days** of Bereavement Leave.

Restrictions

- Bereavement Leave is applicable only for immediate family members.
- Supporting documentation may be requested by HR, if required.

AI Validation Rules

Before processing a Bereavement Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The employee satisfies the eligibility criteria.
- The requested leave duration is within the permitted limit.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.
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Rule LP-007: Leave Without Pay (LWP)

Leave Without Pay (LWP) may be granted when an employee has exhausted all eligible leave balances or when the requested leave is not covered under any other leave category.

Eligibility

- Employees become eligible for Leave Without Pay only when no applicable leave balance is available or when the requested leave type is not covered under the organization's leave policy.

Entitlement

- Employees may avail up to **10 days of Leave Without Pay per calendar year**, subject to approval.

Restrictions

- Leave Without Pay requires approval from the designated HR authority.
- No salary shall be paid for the approved Leave Without Pay period.

AI Validation Rules

Before processing a Leave Without Pay request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The requested leave duration is within the permitted limit.
- All mandatory information has been provided.
- The employee has exhausted all applicable leave balances or the request is not eligible under any other leave category.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
 - If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
 - If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
 - The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.
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Rule LP-008: Birthday Leave

Birthday Leave may be granted to employees on their official date of birth as recorded in the Employee Master.

Eligibility

- The employee must have a valid date of birth recorded in the Employee Master.
- Birthday Leave may be availed only on the employee's actual birthday.

Entitlement

- Eligible employees may avail **0.5 day of Birthday Leave** per calendar year.

Restrictions

- Birthday Leave must be taken on the employee's actual birthday.
- Unused Birthday Leave shall automatically lapse.

- Birthday Leave cannot be carried forward or encashed.
- Birthday Leave can only be availed once per calendar year.

AI Validation Rules

Before processing a Birthday Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The requested leave date matches the employee's recorded birthday.
- Birthday Leave has not already been availed during the current calendar year.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
- If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
- If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
- The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.

Rule LP-009: Marriage Anniversary Leave

Marriage Anniversary Leave may be granted to eligible employees on their official marriage anniversary date as recorded in the Employee Master.

Eligibility

- The employee must have a valid marriage anniversary date recorded in the Employee Master.
- Marriage Anniversary Leave may be availed only on the employee's actual marriage anniversary.

Entitlement

- Eligible employees may avail **0.5 day of Marriage Anniversary Leave** per calendar year.

Restrictions

- Marriage Anniversary Leave must be taken on the employee's actual marriage anniversary.
- Unused Marriage Anniversary Leave shall automatically lapse.
- Marriage Anniversary Leave cannot be carried forward or encashed.
- Marriage Anniversary Leave can only be availed once per calendar year.

AI Validation Rules

Before processing a Marriage Anniversary Leave request, the AI HR Operations Assistant shall verify:

- The Employee ID exists in the Employee Master.
- The requested leave date matches the employee's recorded marriage anniversary.
- Marriage Anniversary Leave has not already been availed during the current calendar year.
- All mandatory information has been provided.

Decision Logic

- If all validation rules are satisfied, the AI HR Operations Assistant shall generate an **Approved** recommendation.
- If one or more validation rules fail, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
- If the request requires Human Review as per organizational policy, the AI recommendation shall be forwarded to the **Human Review** module for final approval.
- The stored procedure shall update the Leave Transaction, Attendance Transaction, and Audit Log only after the final decision has been determined.

Rule LP-010: Mandatory Information

Every leave request submitted by an employee shall contain the following mandatory information:

- Employee ID
- Employee Name

- Leave Type
- From Date
- To Date
- Reason for Leave

AI Validation Rules

Before processing a leave request, the AI HR Operations Assistant shall verify:

- All mandatory fields are present.
- The Employee ID exists in the Employee Master.
- The leave type is valid according to the Leave Management Policy.
- The requested leave dates are valid.
- The request contains sufficient information for processing.

Decision Logic

- If all mandatory information is available, the AI HR Operations Assistant shall continue with leave validation.
- If one or more mandatory fields are missing, the AI HR Operations Assistant shall generate a **Rejected** recommendation along with the reason for rejection.
- If the request cannot be interpreted due to incomplete or ambiguous information, the AI shall generate a **Needs Human Review** recommendation.

Rule LP-011: Duplicate Leave Requests

Only one leave request shall be accepted for the same employee and leave period.

Duplicate requests for identical leave dates shall be rejected by the AI.

Rule LP-012: Leave Balance Validation

The AI shall verify sufficient leave balance before forwarding requests for Paid Leave, Floater Leave, Birthday Leave, Marriage Anniversary Leave, and Comp Off.

If sufficient balance is not available, the request shall be rejected or processed as Leave Without Pay (LWP), in accordance with organizational policy.

Rule LP-013: Invalid Leave Dates

Leave requests shall be rejected if:

- The From Date is after the To Date.
- The leave dates are invalid.
- Mandatory leave dates are missing.

Rule LP-019: Audit Logging

Every leave request that is successfully processed after the final decision has been determined shall generate an Audit Log entry.

Audit Log Details

The Audit Log shall contain the following information:

- Employee ID
- Leave Type
- Previous Leave Balance
- Updated Leave Balance
- Processed By
- Timestamp

Audit Logging Rules

The AI HR Operations Assistant shall ensure that:

- Every successfully processed leave request generates an Audit Log entry.
- The Audit Log records only the **final changes made to the database**.
- Audit Log entries shall not be modified after they have been created.
- Every Audit Log entry shall include the processing timestamp for future reference and auditing purposes.

Rule LP-015: AI Decision Rules

The AI HR Operations Assistant shall evaluate every leave request and generate one of the following recommendations based on the Leave Management Policy.

Approved Recommendation

The AI shall generate an **Approved** recommendation when the leave request satisfies all applicable policy rules and validation checks.

Rejected Recommendation

The AI shall generate a **Rejected** recommendation when the leave request violates one or more policy rules, contains invalid or incomplete information, or fails any mandatory validation checks.

Needs Human Review

The AI shall generate a **Needs Human Review** recommendation when the leave request cannot be confidently processed due to exceptional circumstances, insufficient information, or when manual approval is required as per organizational policy.

Final Decision

- The AI recommendation shall be used as the initial recommendation for processing the leave request.
- If Human Review is required, the AI recommendation shall be forwarded to the Human Review module.
- The final approval or rejection shall be determined after Human Review, wherever applicable.
- The stored procedure shall update the Leave Transaction, Leave Balance, Attendance Transaction, and Audit Log only after the final decision has been determined.